

U.S. Multi Industry & Electrical Equipment

3Q26 Earnings Preview (HVAC): Like JCI setup the most, some price/cost debates at TT, concerns on 4Q guide at CARR



Varun Govindaraj
+1 917 344 8543
varun.govindaraj@bernsteinsg.com

Specialist Sales



Steve Song
+1 917 344 8401
steve.song@bernsteinsg.com

In our earnings preview on HVAC names, we discuss our view on the setup for JCI, TT, and CARR. We like the setup for JCI the most (our top HVAC pick), this seems to be a consensus long from most investors going into the Q. Trane seems to have some narrative issues on price cost; we think these could be overblown and expect organic growth to come in strong regardless. On Carrier, concerns are less on 3Q (which management has largely telegraphed at conference season but rather that Americas margins seem to be high on the sell side and investors expect them to cut the EPS guide in 4Q. Details below.

JCI: Sentiment seems very positive and a consensus long among investors. This is driven partly by strength in data centers but also the story on the idiosyncratic transformation which has gained traction since the last print. Note this is 4QFY so we can expect a guide for FY27. We think it will be DD% organic growth guide with incrementals in the 35 - 40% range. Of the group, we think JCI has the most potential for near-term earnings revisions. There has been some debate around whether investors have been paid going into the print given stock outperformance in the last few weeks; we think there is more upside. If JCI can get to low to mid teens on organic growth and ~40% incrementals, and EPS between \$6.5 - 7.0 in FY27 is reasonable to assume which implies the stock trades at a low 20x multiple (which is not overly expensive for what you are buying).

Trane: A lot more nervousness from hedge funds going into the print, largely on the basis of price cost issues. We expect them to come out ahead on the organic growth guide (~100 bps of sequential acceleration from 2Q as per the guide seems low). We also think residential could come to the rescue on price cost (level loading of production coupled off strong operating leverage in 3Q vs. last year). We've heard from our trading desk (and investors) that HFs have been short going into the print (although we don't see that in a material uptick in short interest). We continue to like the company long-term, and think a margin miss here (if at all) would be largely transitory if growth / orders can offset concerns.

Carrier: Probably where sentiment is the weakest; largely due to margin concerns and a lack of structural recovery on residential. Valuation looks very attractive and we've received outreach from value-focused investors looking to add positions, although from our trading desk we've heard of existing LOs trimming holdings (by a single digit %). Investors have mostly been worried about management cutting the implied 4Q EPS guide; the concern is that consensus CSA margins look too high in 4Q, especially if data centers (margin dilutive) are outperforming relative to residential (margin accretive). We don't think there's material downside risk to the stock from this point, but we remain tactically neutral since we also don't see a catalyst path going into earnings. We take our target price down from \$78 to \$64. This is largely driven by updating Carrier's current EV/NTM EBIT multiple from 18x to ~15x to reflect the current market multiple. We also marginally bring down our CSA margin number from ~20% as modelled by consensus to ~18.5% for 4Q26.

You can view our earlier preview on electrical equipment names (VRT, NVT) [here](#).

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	6 Oct 2026	Price	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
JCI (Johnson Controls)	O	USD	158.76	190.00	28.9%	USD	3.78	5.09	6.35	42.0	31.2	25.0
TT (Trane)	O	USD	476.39	575.00	(3.9)%	USD	13.06	15.28	17.79	36.5	31.2	26.8
CARR (Carrier)	M	USD	56.10	64.00	(22.2)%	USD	2.57	2.86	3.24	21.8	19.6	17.3
OLD				78.00				2.85	3.29			
VRT (Vertiv)	O	USD	253.14	368.00	39.5%	USD	4.20	6.60	9.06	60.3	38.3	27.9
NVT (nVent)	O	USD	173.80	229.00	61.3%	USD	3.34	5.15	6.55	52.0	33.7	26.5
APH (Amphenol)	O	USD	88.62	99.00	27.6%	USD	1.67	2.65	3.31	53.1	33.4	26.8
TEL (TE Connectivity)	O	USD	219.51	243.00	(17.6)%	USD	9.26	11.46	12.98	23.7	19.2	16.9
EMR (Emerson)	O	USD	161.40	186.00	3.8%	USD	6.00	6.55	7.23	26.9	24.7	22.3
ROK (Rockwell)	M	USD	450.74	514.00	13.3%	USD	10.47	13.13	14.53	43.1	34.3	31.0
HON (Honeywell)	M	USD	212.87	254.00	(12.9)%	USD	6.46	8.31	9.72	33.0	25.6	21.9
PH (Parker Hannifin)	O	USD	984.91	1,218.00	13.0%	USD	32.31	35.13	38.68	30.5	28.0	25.5
MMM (3M)	M	USD	163.64	171.00	(11.1)%	USD	8.06	8.91	9.62	20.3	18.4	17.0
OTIS (Otis)	O	USD	66.45	90.00	(42.8)%	USD	4.05	4.05	4.52	16.4	16.4	14.7
SPX			7,818.93									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

PH base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate JCI Outperform, TP \$190

We rate TT Outperform, TP \$575

We rate CARR Market-Perform, TP \$64

We rate VRT Outperform, TP \$368

We rate NVT Outperform, TP \$229

We rate APH Outperform, TP \$99

We rate TEL Outperform, TP \$243

We rate EMR Outperform, TP \$186

We rate ROK Market-Perform, TP \$514

We rate HON Market-Perform, TP \$254

We rate PH Outperform, TP \$1,218

We rate MMM Market-Perform, TP \$171

We rate OTIS Outperform, TP \$90

DETAILS

EXHIBIT 1: Sector overview going into 3Q26 EPS (1/2)

Company	Current price	Target price	Fwd P/E Multiple	Rating	Tactical 3Q positioning	Tactical commentary	
 VERTIV	\$253	\$368	32.1x	OP	Neutral	Concerns around meeting buy-side #s (\$7 vs. \$6.7 guide)	
 nVent	\$174	\$229	29.8x	OP	Positive	Continued torque from liquid cooling ramp-up through '27	
 TRANE TECHNOLOGIES	\$476	\$575	28.9x	OP	Neutral	Concerns around price cost in 3Q/4Q	
 Johnson Controls	\$159	\$190	27.2x	OP	Positive	Expect strong FY27 guide from JCI	Focus of this note
 Carrier	\$56	\$64	18.4x	MP	Neutral	No near-term catalysts (margin & resi. are overhangs)	
 Amphenol	\$89	\$99	29.9x	OP	Positive	Continued torque from in-rack DC outperformance	
 TE	\$220	\$243	17.6x	OP	Neutral	Do not expect strong orders to convert till 2027	

Source: Bernstein Analysis and Estimates, Visible Alpha, Company Reports

EXHIBIT 2: Sector overview going into 3Q26 EPS (2/2)

Company	Current price	Target price	Fwd P/E Multiple	Rating	Tactical 3Q positioning	Tactical commentary
Emerson	\$161	\$186	22.8x	OP	Neutral	No imminent catalyst; expect conservative guide
 Honeywell Technologies	\$213	\$254	23.4x	MP	Positive	We think growth could be above higher end of guide
 Rockwell Automation	\$451	\$514	31.0x	MP	Neutral	Price cost concerns; FY27 guide / investor day are key catalysts
 Parker	\$985	\$1218	27.8x	OP	Positive	Short-cycle support + aero. aftermarket better than expected
 OTIS	\$66	\$90	15.8x	OP	Neutral	Near-term overhang from ongoing CEO transition
 3M	\$164	\$171	17.6x	MP	Positive	Short-cycle support + possible targets on GM expansion

Source: Bernstein Analysis and Estimates, Visible Alpha, Company Reports

TRANE

We continue to re-iterate our long-term thesis than Trane is a quality compounder, and fully expect them to see tailwinds from the broader data center buildout. That being said, sentiment has been more negative on the name going into the print (mostly from HFs) on concerns around price cost that originated around conference season. Investors we have spoken with believe that Trane is not well-positioned to pass on cost increases, and this could lead to them missing Americas margin numbers in 3Q (~22.9% in VA consensus, 22.5% in BERN model). We have heard from our trading desk that there have been more players building shorts in the run up to the print, although short interest still seems to be lower than what we saw going into 2Q.

While we do acknowledge that input costs have gone up materially (especially steel) in the last couple of quarters, we think Trane will have some offsets here on the residential side of the business. First, we are looking at much weaker comps for 2H on resi; Trane is guiding this up MSD in 2H26 however it would not be unrealistic to think they come in hotter than that (especially if you look at AHRI data over the last few months which is up double digit+). Second, Trane level loads residential HVAC production (which means absorprion is optically worse when resi sales are light and better when they are heavy). 3Q is generally a strong month for residential sales, and we think that plays into managing margins as well. While we won't pretend to be that precise to estimate the \$ impact of these headwinds and tailwinds, we also think that the magnitude of cost headwinds may be overstated. But there is still a risk, and that makes us tactically cautious going into the print (especially when there are cleaner ways to play the quarter in HVAC).

Our view on numbers: We see revenue at \$6.5B in 3Q 26 (vs. \$6.5B consensus and largely in-line with the ~10% organic growth implied by the guide). Our operating margin estimate is 20.9% with incrementals at 24.0% vs consensus at 21.0% (operating margins) and 24.3% (incrementals). And our EPS is \$4.71 against consensus of \$4.73 and the guide at \$4.70. So we are broadly in line with the rest of the sell side. Where we think the beat can come in is on topline growth vs. margin expansion; while we think margins largely remain at consensus (with a risk that they come in lower if the buy side has this right), we do think that read-throughs more broadly of other data center exposed names we cover indicate a continued sequential acceleration inot 3Q. Trane is generally conservative with guidance, so a few more points of organic growth on the topline (taking us from ~10% organic to possibly low teens) is not impossible especially if they are able to continue to pull forward some of their order to revenue conversion. Bookings were up ~22% in 4Q25 vs closer to ~13% in 3Q25 and while we do not expect that to simply translate into an additional 9 points of organic growth between 2Q and 3Q 2026, we do think it implies revenue should accelerate by more than 100 bps sequentially (which is what the guide currently suggests).

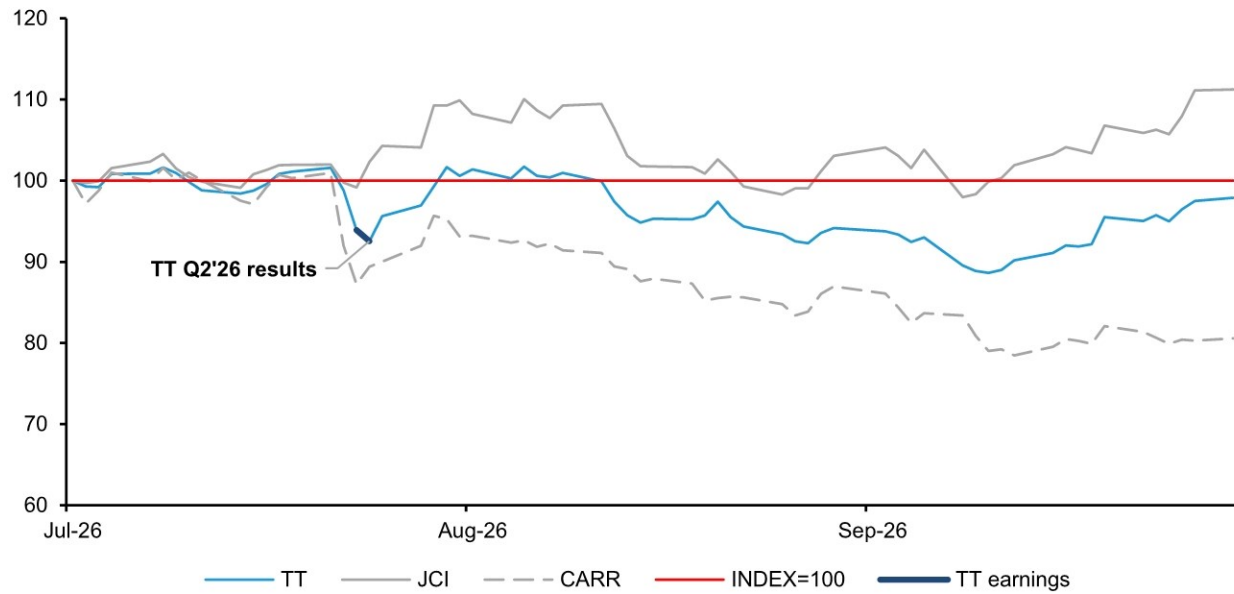
EXHIBIT 3: TT Cons. vs reported

\$m

	Revenue reported	Revenue Cons.	Diff (Report. vs Cons.)	Adj. EBIT reported	EBIT Cons.	Diff (Report. vs Cons.)	Dil EPS reported (\$)	Dil EPS Cons.(\$)	Diff (Report. vs Cons.)	Price change on result day
2024 Q3	5,441	5,304	3%	1,026	992	3%	3.37	3.24	4%	-4%
2024 Q4	4,874	4,774	2%	794	781	2%	2.61	2.54	3%	1%
2025 Q1	4,689	4,471	5%	760	693	10%	2.45	2.20	11%	8%
2025 Q2	5,746	5,766	0%	1,166	1,138	2%	3.88	3.78	3%	-8%
2025 Q3	5,743	5,771	0%	1,182	1,133	4%	3.88	3.78	3%	4%
2025 Q4	5,145	5,092	1%	837	862	-3%	2.86	2.82	1%	8%
2026 Q1	4,969	4,807	3%	795	766	4%	2.63	2.52	4%	3%
2026 Q2	6,354	6,191	3%	1,253	1,254	0%	4.31	4.26	1%	-1%

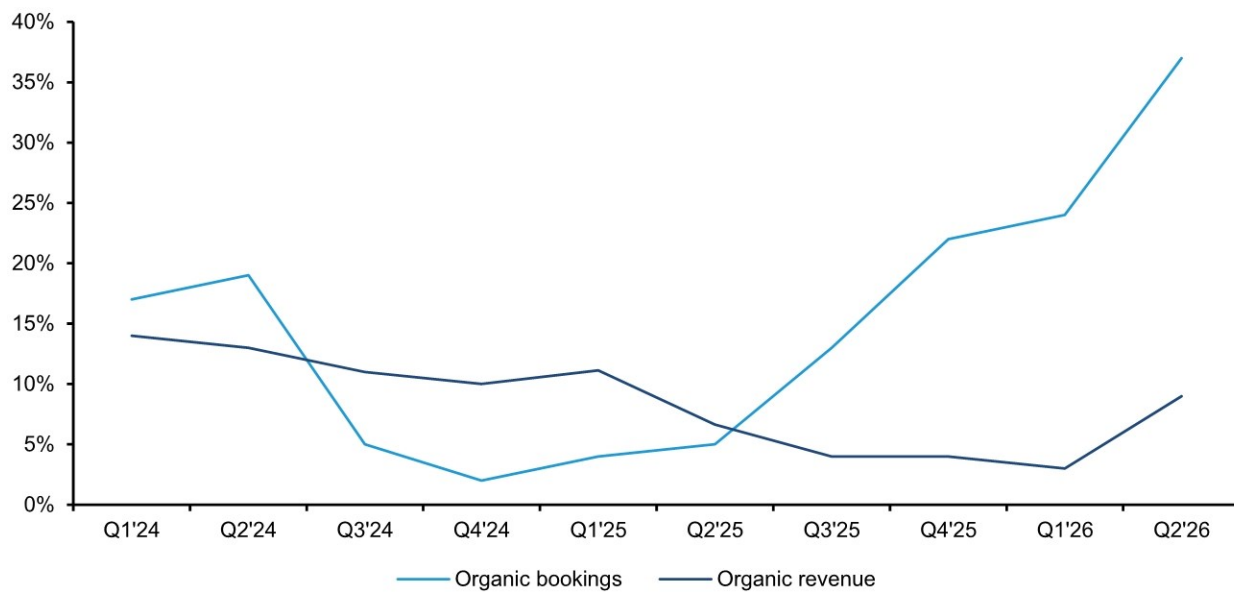
Source: Bloomberg, Bernstein analysis

EXHIBIT 4: Share price evolution past 3 months

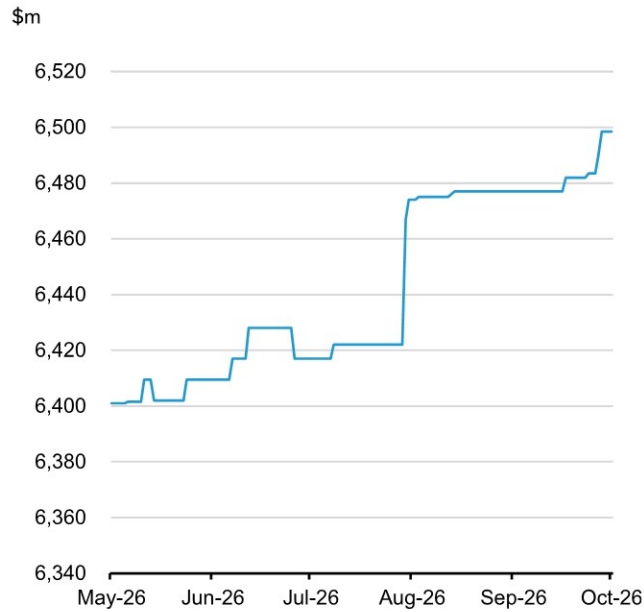


Source: Bloomberg, Bernstein analysis

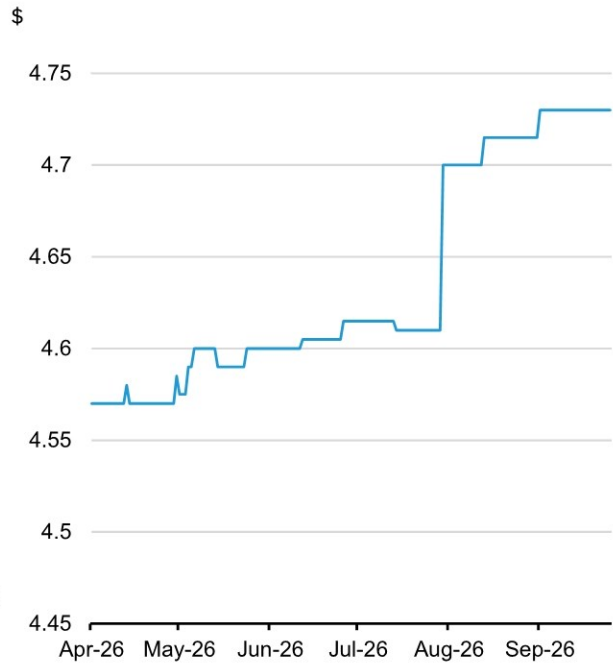
EXHIBIT 5: Trane bookings vs revenue growth (Organic)



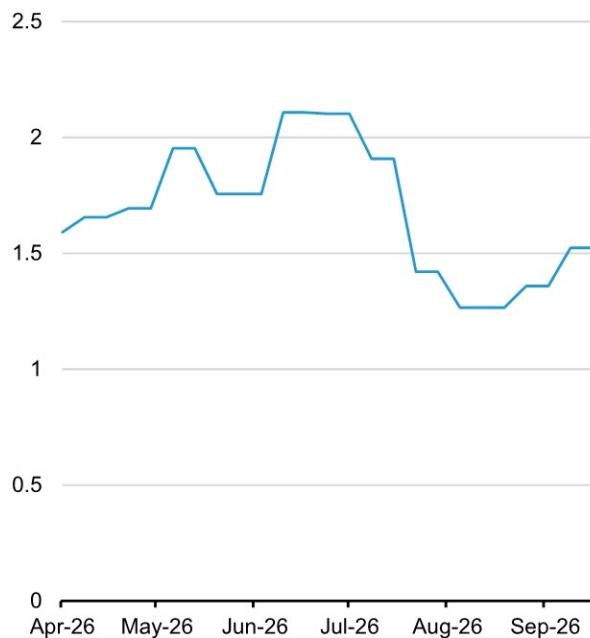
Source: Company reports, Bernstein analysis

EXHIBIT 6: TT Cons. revenue evolution (next reporting quarter)

Source: Bloomberg, Bernstein analysis

EXHIBIT 7: TT Cons. EPS evolution (next reporting quarter)

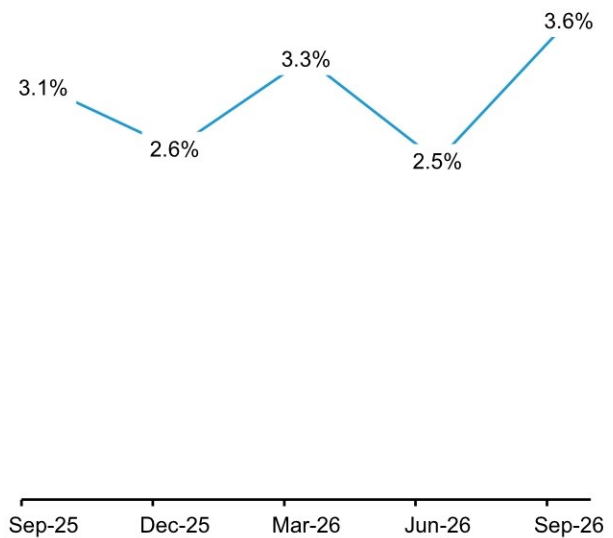
Source: Bloomberg, Bernstein analysis

EXHIBIT 8: TT short interest as % of total float

Source: Bloomberg, Bernstein analysis

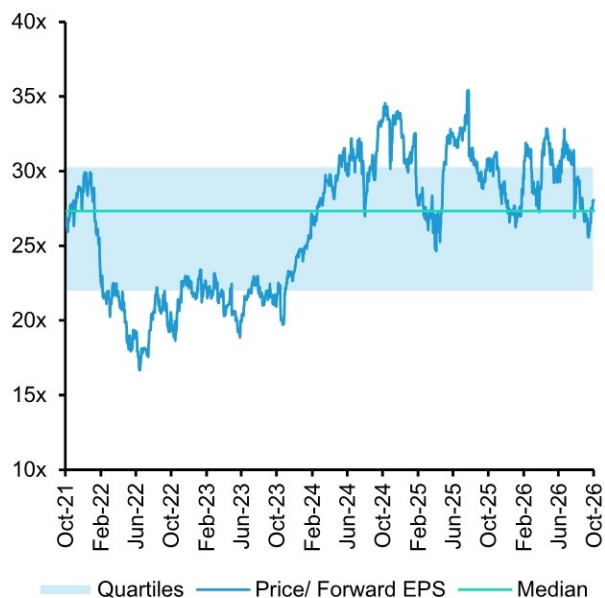
EXHIBIT 9: TT hedge fund managers ownership

Based on publicly reported holdings



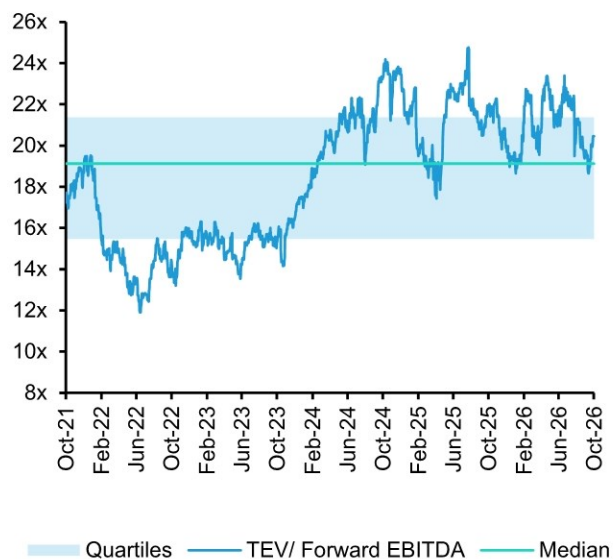
Source: Bloomberg, Bernstein analysis

EXHIBIT 10: **TT P/E NTM**



Source: CapIQ, Bernstein analysis

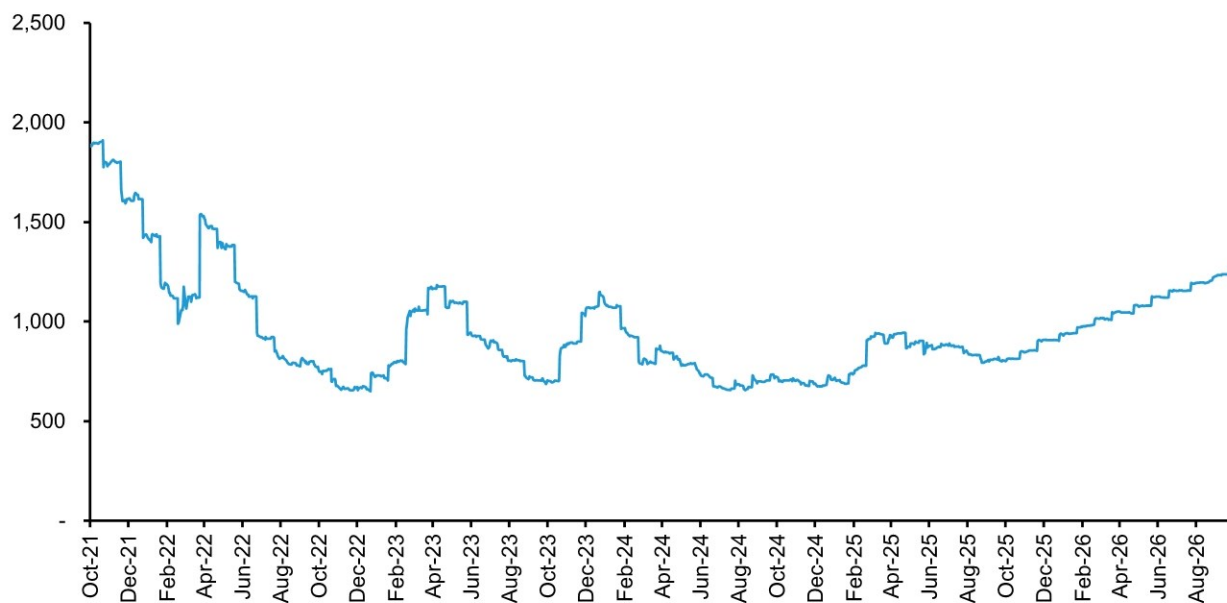
EXHIBIT 11: **TT EV/EBITDA NTM**



Source: CapIQ, Bernstein analysis

EXHIBIT 12: **US Midwest Hot Rolled Coil (HRC) Steel futures**

USD / short ton



Source: Bloomberg, Bernstein analysis

JOHNSON CONTROLS

We think JCI is safest HVAC name going into the print. We think they have the highest room for earnings revisions among the HVAC names we cover. This is also the final quarter for them this FY so we'll get the guide for FY27. Investor sentiment has been almost universally positive of the 30+ conversations we've had in the last week or so. Buyside expectations are for a DD+ organic guide with incrementals in the ~40% range.

If we had to nitpick, we'd say there could be some concerns around order growth numbers. JCI's Americas business has seen a sequential decline over the last two quarters, but given generally positive commentary we've heard about orders for data center exposed industrials, feedback from our pre-close call, and the fact that 4QFY27 orders growth in the Americas was only 9%, we expect orders activity to continue to be in the ~30 - 40% YoY growth range.

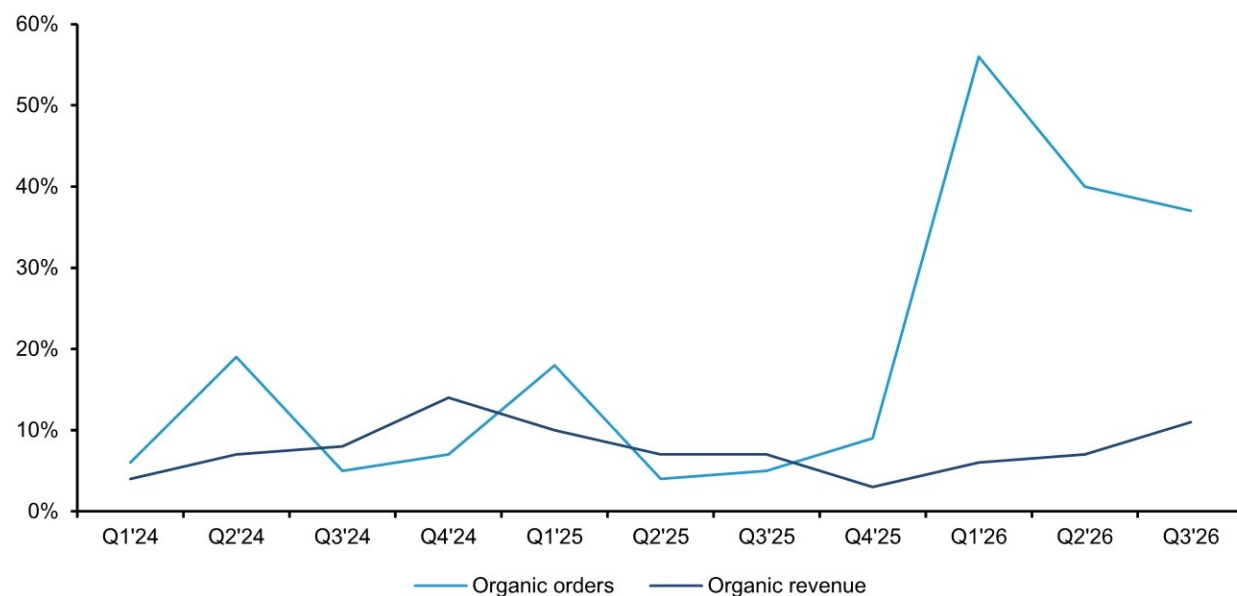
We think that the broader margin expansion story for JCI is underappreciated. To recap, at Gemba day, management talked about the transformation largely from the lens of pilots and value identification. That was supposed to be scaled up through the rest of the organization. Now that we are ~5 months out from that event, we think that Q4FY27 is where we start to see early results from the transformation play out in more detail. VA consensus is still modelling operating leverage at ~35% for next year, and we think this underestimates the impact of the cost-side of the transformation.

Our view on numbers: We see revenue at \$7.08B in 4QFY26 (vs. \$7.02B consensus and largely in-line with the ~9 - 10% organic growth implied by the guide). And our EPS is \$1.59 against consensus of \$1.59 and the guide at \$1.55. So we are broadly in line for the last quarter of the year. Some investors are also worried about JCI having captured all its gains going into the print. The stock is up ~25% in the last three weeks or so. We don't think that necessarily caps upside; with incrementals of ~40% and organic growth in the low teens (since JCI will most likely give us beats and raises over FY27), we get to an FY27 EPS between \$6.5 and \$7.0 which implies a forward multiple in the low 20s on FY27 earnings. That is not particularly expensive for a stock that is delivering double-digit topline growth and a margin expansion story. Many investors we have spoken with on the buy-side are underwriting a mid-teens top line growth, which only makes the stock look even cheaper.

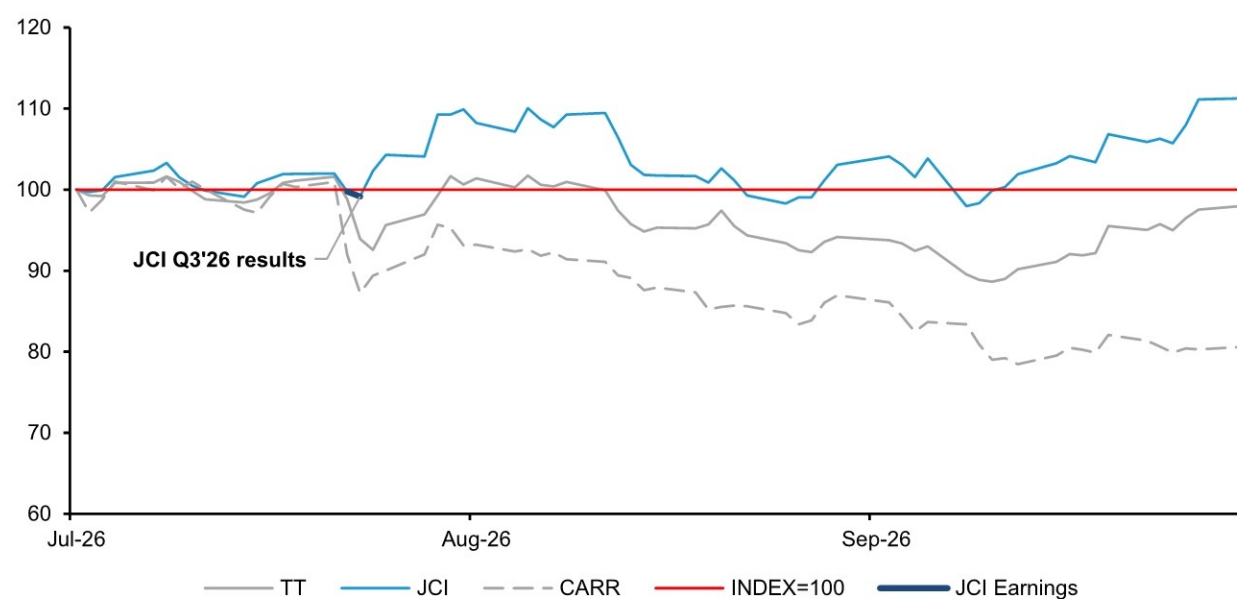
EXHIBIT 13: JCI Cons. vs reported

	Revenue reported	Revenue Cons.	Diff (Report. vs Cons.)	Adj. EBIT reported	EBIT Cons.	Diff (Report. vs Cons.)	Dil EPS reported (\$)	Dil EPS Cons.(\$)	Diff (Report. vs Cons.)	Price change on result day
2025 Q2	5,676	5,637	1%	701	676	4%	0.82	0.79	4%	1%
2025 Q3	6,052	5,987	1%	865	844	3%	1.05	1.01	4%	-7%
2025 Q4	6,442	6,332	2%	988	961	3%	1.26	1.20	5%	9%
2026 Q1	5,797	5,635	3%	719	695	3%	0.89	0.84	7%	4%
2026 Q2	6,142	6,062	1%	950	891	7%	1.19	1.12	6%	-1%
2026 Q3	6,614	6,468	2%	1,121	1,028	9%	1.42	1.30	9%	-1%

Source: Bloomberg, Bernstein analysis

EXHIBIT 14: JCI Americas order vs revenue (Organic)


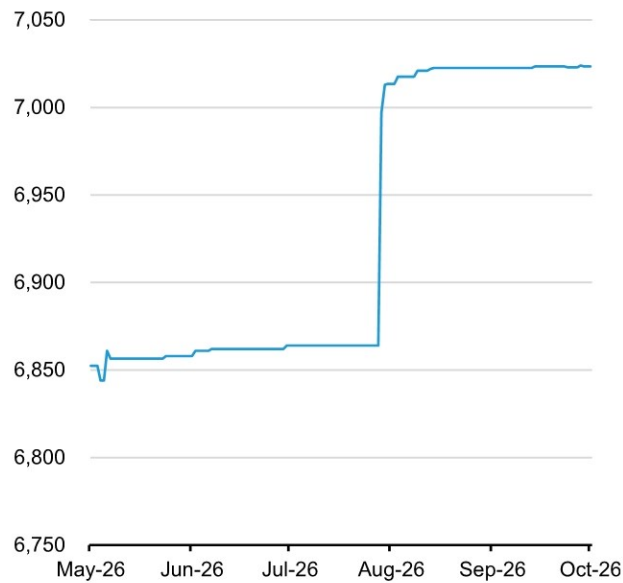
Source: Bloomberg, Bernstein analysis

EXHIBIT 15: Share price evolution past 3 months


Source: Bloomberg, Bernstein analysis

EXHIBIT 16: JCI Consensus revenue evolution (next reporting quarter)

\$M



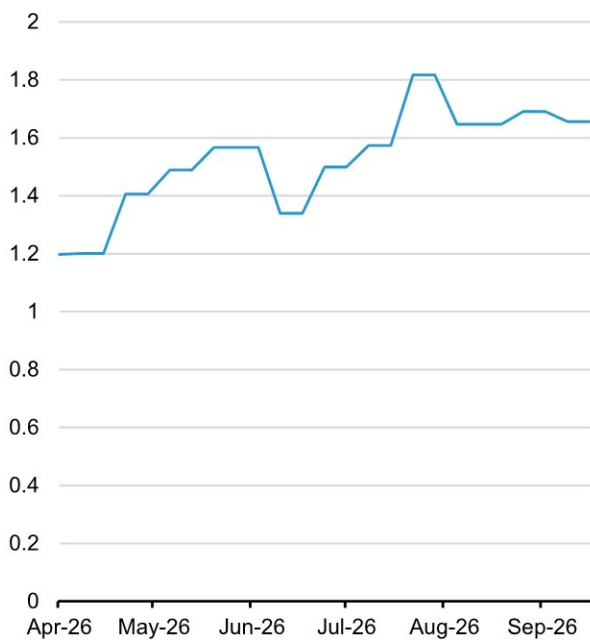
Source: Bloomberg, Bernstein analysis

EXHIBIT 17: JCI Cons. EPS evolution (next reporting quarter)

\$



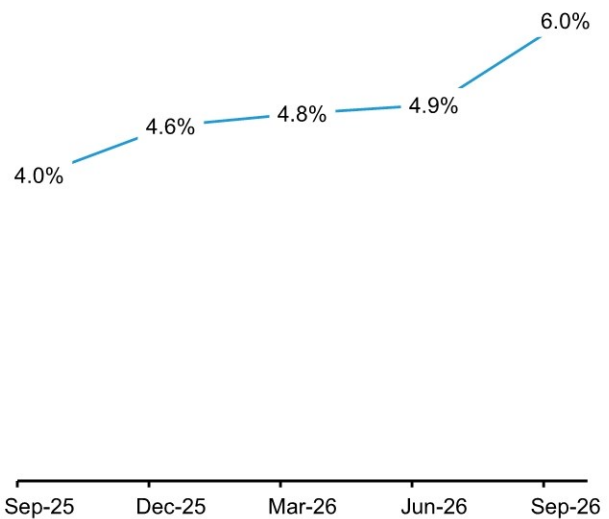
Source: Bloomberg, Bernstein analysis

EXHIBIT 18: JCI short interest as a % of total float

Source: Bloomberg, Bernstein analysis

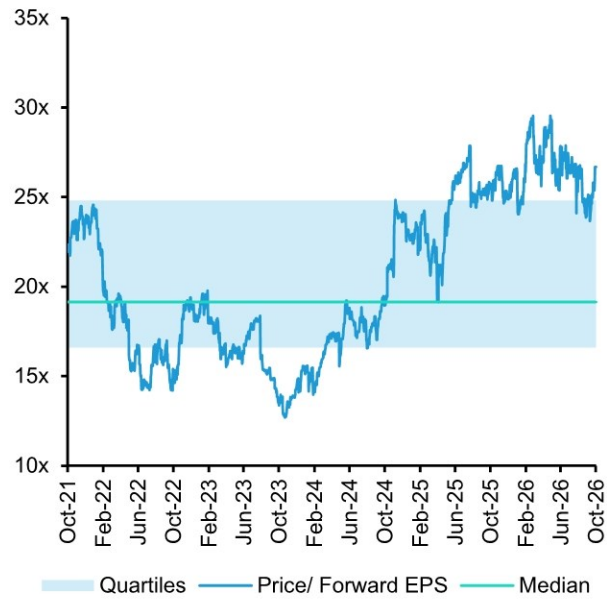
EXHIBIT 19: JCI hedge fund managers ownership

Based on publicly reported holdings



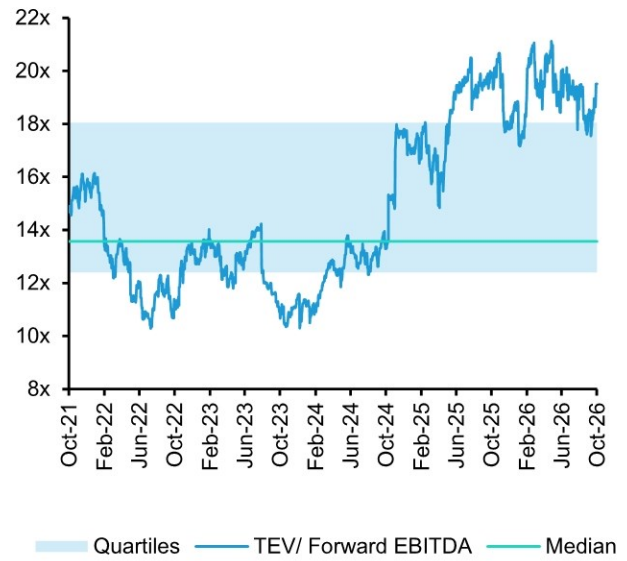
Source: Bloomberg, Bernstein analysis

EXHIBIT 20: JCI P/E NTM



Source: CapIQ, Bernstein analysis

EXHIBIT 21: JCI EV/EBITDA NTM



Source: CapIQ, Bernstein analysis

CARRIER

We're a bit worried on setup for Carrier going into the print. We're not sure what gets investors excited about the stock in the 3Q print / 4Q guide and think recovery is more of a 2027 story at this point. The issue is largely that data center / CHVAC revenues are more margin dilutive than investors expect it to be, and operational outperformance here (which is usually a good thing) is weighing on the share price as it brings down where the street is at on Americas margin expectations. It also does not help that residential HVAC is largely dead in North America, and while we seem to be at the trough (famous last words) there isn't anything driving inflection. Carrier is also talking about a flattish residential market going into 2027. We do acknowledge that Carrier trades at a very attractive multiple compared to other HVAC peers (and we've received a lot of interest from value-focused long-onlys) but many investors want to wait till we get the 3Q print and have "clean air" behind us before deploying more capital into the name.

The big theme investors have been flagging to us is whether Carrier cuts their 4Q margin / EPS guide. Sell side consensus sits at ~20% Americas margin for 4Q. This is seasonally a weak quarter for Carrier since higher margin residential sales are concentrated in 2Q and 3Q of each year. Investors are worried that data center outperformance (which does seem to be the direction of travel since Carrier's \$1.5B of data center revenue skews more to 4Q) coupled with a seasonally weak residential quarter means that the ~20% implied Americas margin guide is too aggressive. Carrier doesn't break out how much is residential vs. not in North America so it is hard to see how much of an impact this can have, but we do agree that the 4Q margins modelled are higher than what we've seen for Carrier in the past and look tough to achieve at this point. Unless management has a near-term margin expansion story / cost levers to pull, we do agree with sentiment that these numbers get taken down. Every ~100 bps of North America Margin seem to contribute around 2 cents of EPS, and if we take North America margins for 4Q down to ~18.5% (where it was in 4Q24) we get to ~\$2.86 of EPS in 2026. We've heard from some investors that they expect a larger cut.

Our view on numbers: Carrier has provided investors with updated mid-quarter guidance at conference season. They seem to be tracking slightly above ~\$6B for 3Q (we are at ~\$6B in our model vs. VA consensus which sits a few million shy of that number) and EPS of 75 cents (in line with Carrier guidance and consensus). We think the proximity of the commentary on numbers from Carrier gives us confidence that they land broadly at their guide.

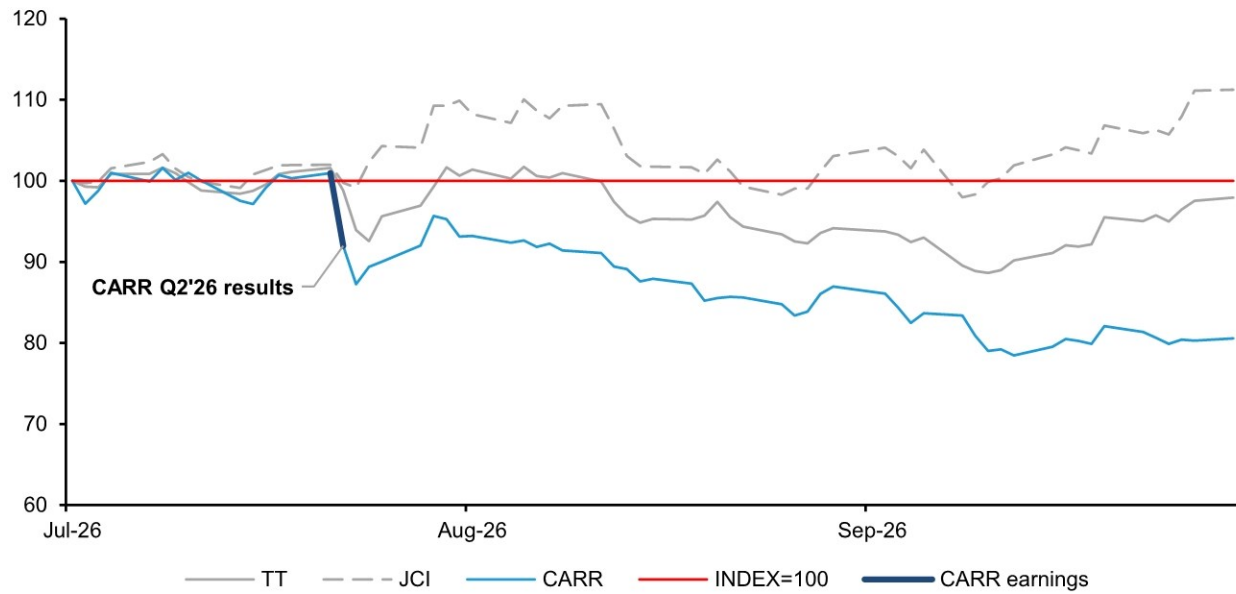
EXHIBIT 22: CARR Cons. vs reported

\$m

	Revenue reported	Revenue Cons.	Diff (Report. vs Cons.)	Adj. EBIT reported	EBIT Cons.	Diff (Report. vs Cons.)	Dil EPS reported (\$)	Dil EPS Cons.(\$)	Diff (Report. vs Cons.)	Price change on result day
2024 Q4	5,148	5,302	-3%	678	707	-4%	0.54	0.49	11%	-2%
2025 Q1	5,218	5,205	0%	843	777	8%	0.65	0.58	12%	12%
2025 Q2	6,113	6,093	0%	1,166	1,143	2%	0.92	0.90	2%	-11%
2025 Q3	5,579	5,512	1%	823	761	8%	0.67	0.56	20%	1%
2025 Q4	4,837	5,015	-4%	455	500	-9%	0.34	0.36	-6%	-1%
2026 Q1	5,341	5,009	7%	594	554	7%	0.57	0.51	13%	9%
2026 Q2	6,351	6,011	6%	1,095	1,041	5%	0.86	0.81	6%	-9%

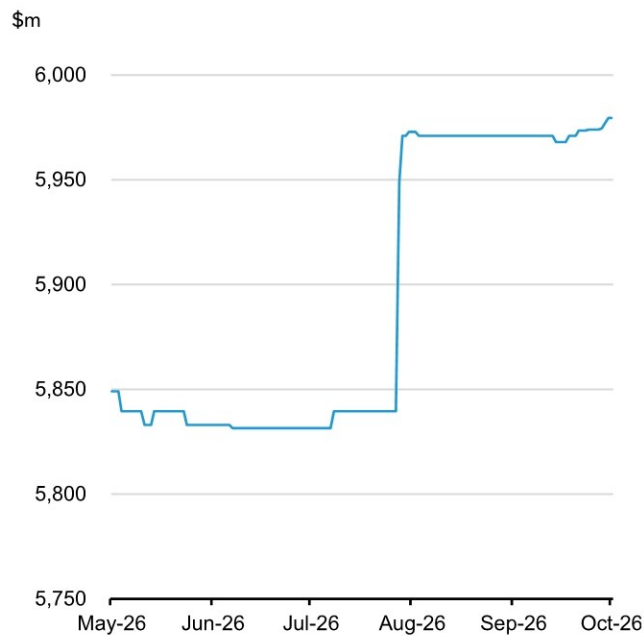
Source: Bloomberg, Bernstein analysis

EXHIBIT 23: **Share price evolution past 3 months**



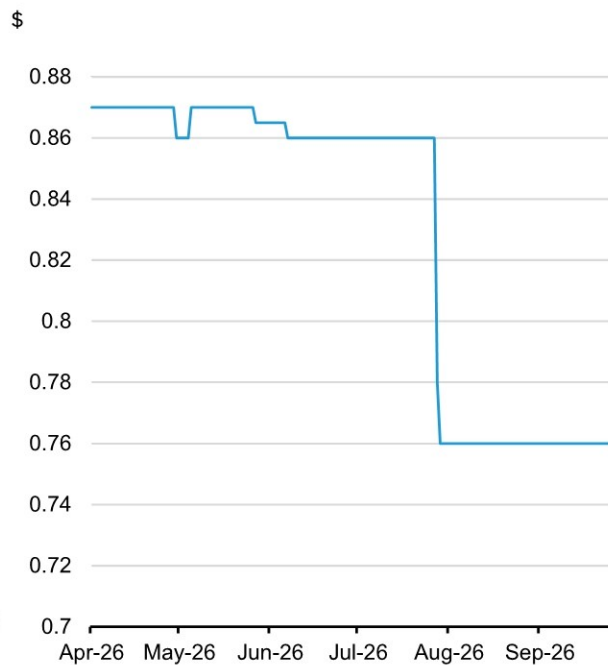
Source: Bloomberg, Bernstein analysis

EXHIBIT 24: **CARR Cons. revenue evolution (next reporting quarter)**

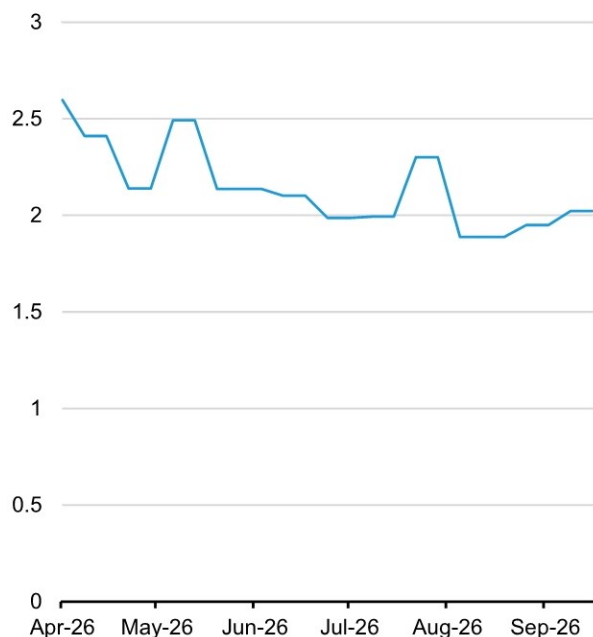


Source: Bloomberg, Bernstein analysis

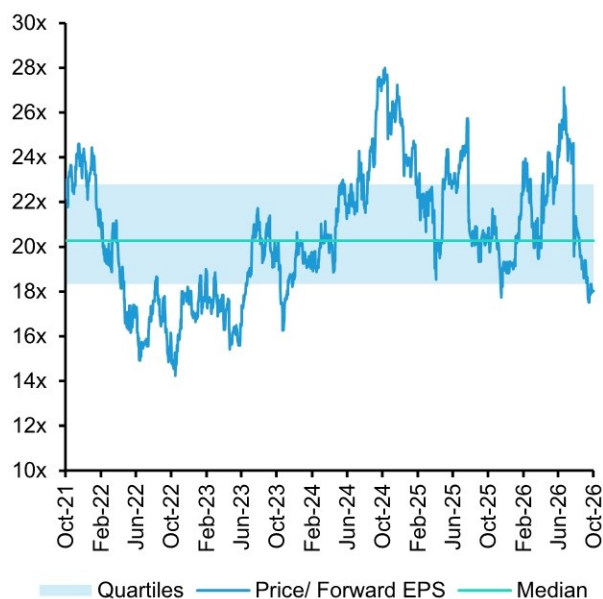
EXHIBIT 25: **CARR Cons. EPS evolution (next reporting quarter)**



Source: Bloomberg, Bernstein analysis

EXHIBIT 26: **CARR short interest as % of total float**

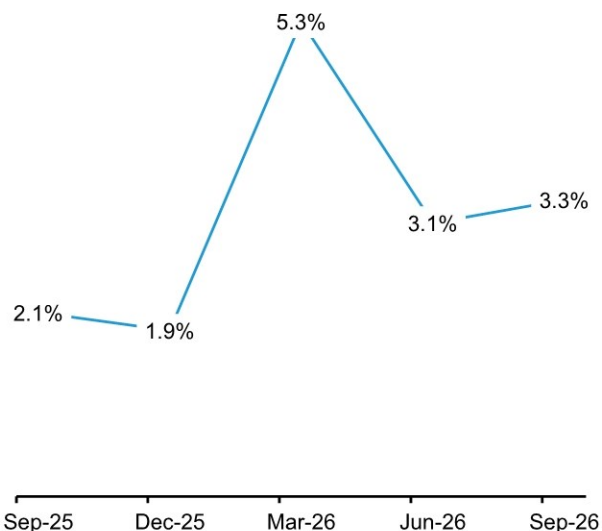
Source: Bloomberg, Bernstein analysis

EXHIBIT 28: **CARR P/E NTM**

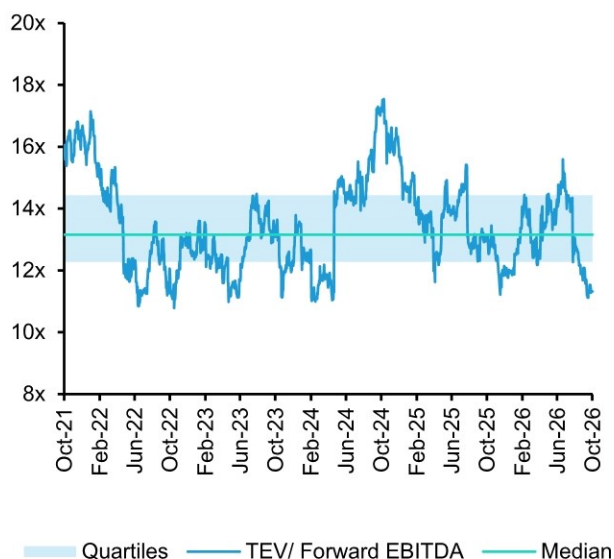
Source: CapIQ, Bernstein analysis

EXHIBIT 27: **CARR hedge fund managers ownership**

Based on publicly reported holdings



Source: Bloomberg, Bernstein analysis

EXHIBIT 29: **CARR EV/EBITDA NTM**

Source: CapIQ, Bernstein analysis

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

This research publication covers six or more companies. For valuation methodology and other company disclosures:

Please visit: <https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action>.

Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

RISKS

This research publication covers six or more companies. For risks and other company disclosures:

Please visit: <https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action>.

Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of September 30, 2026. All figures are updated quarterly.

PRICE CHARTS/ RATINGS AND PRICE TARGET HISTORY

This research publication covers six or more companies. For price chart and other company disclosures, please visit <https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action> or you can write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

CONFLICTS OF INTEREST

Bernstein Autonomous LLP or BSG France SA, beneficially, has either a net long or short position of 0.5% or more of the total issued share capital of a class of common equity securities of the following MiFID eligible securities: Trane Technologies PLC, Carrier Global Corporation, Amphenol Corporation and 3M Co.

SG and/or its affiliates beneficially own 0.5% or more of [the total issued share capital/any class of common equity securities] with a net [long/short] position of: Honeywell International Inc and 3M Co.

Bernstein and/or affiliates have received compensation for investment banking services in the past twelve months from Honeywell International Inc and Otis Worldwide Corporation.

Bernstein and/or affiliates have received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Carrier Global Corporation, Amphenol Corporation, Honeywell International Inc and Otis Worldwide Corporation.

Certain affiliates of Bernstein act as market maker or liquidity provider in the equities securities of: Johnson Controls International PLC, Trane Technologies PLC, Carrier Global Corporation, Vertiv Holdings Co, nVent Electric PLC, Amphenol Corporation, TE Connectivity Ltd, Emerson Electric Co, Rockwell Automation Inc, Honeywell International Inc, Parker-Hannifin Corporation and 3M Co.

Certain affiliates of Bernstein act as market maker or liquidity provider in the debt securities of: Carrier Global Corporation.

Bernstein and/or affiliates had an investment banking client relationship during the past twelve months with Honeywell International Inc and Otis Worldwide Corporation.

Affiliates of Bernstein managed or co-managed in the past twelve months a public offering of securities of Honeywell International Inc and Otis Worldwide Corporation.

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

- +1 Bernstein Institutional Services LLC; New York, New York, USA
- +44 Bernstein Autonomous LLP; London UK
- +212 Société Générale Global Solution Center Morocco, Casablanca, Morocco
- +33 BSG France S.A.; Paris, France
- +34 BSG France S.A.; Madrid, Spain
- +41 Bernstein Autonomous LLP; Geneva, Switzerland
- +49 BSG France S.A.; Frankfurt, Germany
- +91 Sanford C. Bernstein (India) Private Limited; Mumbai, India
- +852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China
- +65 Sanford C. Bernstein (Singapore) Private Limited; Singapore
- +81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company, interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

III. OTHER IMPORTANT INFORMATION AND DISCLOSURES

Separate branding is maintained for “Bernstein” and “Autonomous” research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the “Autonomous” and “Bernstein” brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.
- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to “Autonomous” branded products (including certain Sales materials) please visit: www.autonomous.com. For information relating to Bernstein branded products please visit: www.bernsteinresearch.com.

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation (“MAR”) and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

To our readers in the United States: Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission (“SEC”) and a member of the U.S. Financial Industry Regulatory Authority, Inc. (“FINRA”) is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

To our readers in Canada: If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as “permitted client” as defined in Section 1.1 of NI 31-103.

To our readers in Brazil: This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. (“BTG”) is responsible for the distribution of this report in Brazil.

To readers in the United Kingdom: This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the “Financial Promotion Order”), (ii) are persons falling within Article 49(2)(a) to (d) (“high net worth companies, unincorporated associations, etc.”) of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as “relevant persons”). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

To our readers in the member states of the EEA: This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

To our readers in Hong Kong: This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in the SFC Public Register (<https://www.sfc.hk/publicregWeb/corp/AXC846/details>). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

To our readers in Singapore: This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore ("SFA"). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

To our readers in the People's Republic of China: The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People's Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the "PRC") in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

To our readers in Japan: This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. ("Daiwa"), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

To our readers in Australia: Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services license under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;
- making a market for a financial product; and
- providing a custodial or depository service.

To our readers in India: This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no. INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to www.bernsteinresearch.in for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).
- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email MUM-BERNSTEIN-InCompliance@bernsteinsg.com.
- SCB India does not have any disciplinary history as on the date of this report.
- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
 - do not have any financial interest in the subject company
 - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
 - is not engaged in any investment banking activities for Indian companies, as such;
 - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
 - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
 - have not received compensation for brokerage services from the subject company in the past twelve months;
 - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and
 - do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.
 - do not have any conflict of interest in the subject company as of the date of this report.
- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the subject company in the past twelve months.
- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.
- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or MUM-BERNSTEIN-InCompliance@bernsteinsg.com / Scbin-investorgrievance@bernsteinsg.com
- The Research investor charter and Terms & Conditions of SCB India are available on its website and may be accessed at [Sanford C. Bernstein \(India\) Private Limited](https://bernsteinresearch.in/) (https://bernsteinresearch.in/) for your reference.
- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

To our readers in Switzerland: This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

To our readers in the Middle East: Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the

registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, bernsteinresearch.com and autonomous.com. Certain, but not all, research publications are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website www.bernsteinresearch.com.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are "eligible counterparties", "professional clients", "institutional investors" and/or "professional investors" as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to our client portal.

The information in this report was prepared by Bernstein solely for the internal business use of our clients. Clients may store, display, analyze, reformat and print the information in this report for this limited use only. Clients may not copy, alter, create derivative works, resell, reverse engineer, commercially exploit, share or distribute any part of the information contained herein for any purpose without Bernstein's express written consent. These restrictions include extracting data or using the content to develop indices or other products. Further, you may not use this report, or any portion of this report, to train or finetune any third-party machine learning or artificial intelligence system, or as a prompt or input into any such system. You also may not, without Bernstein's express written consent, do any of the foregoing in connection with your own internal machine learning or artificial intelligence system.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein's research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)' current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe

Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients' home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.

Source: Bloomberg Index Services Limited. BLOOMBERG® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg"). Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Neither Bloomberg nor Bloomberg's licensors approves or endorses this material, or guarantees the accuracy or completeness of any information herein, or makes any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, neither shall have any liability or responsibility for injury or damages arising in connection therewith.

No part of this material may be reproduced, distributed or transmitted or otherwise made available without prior consent of the entities noted herein. Copyright Bernstein Institutional Services LLC Bernstein Autonomous LLP, BSG France S.A., Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited and Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社). All rights reserved. The trademarks and service marks contained herein are the property of their respective owners. Any unauthorized use or disclosure is strictly prohibited. The entities noted herein may pursue legal action if the unauthorized use results in any defamation and/or reputational risk to the entities noted herein and research published under the Bernstein and Autonomous brands.